

micro-markets,” Bakhshi said in an analyst call in October.

In the competitive banking industry, the bank has improved its net interest margin, or NIM, from 3.23 per cent to 4.48 per cent without compromising on asset quality. It has also been conservative in terms of the provision coverage ratio for assets, which jumped from a low of 60.50 per cent in March 2018 to a high of 82.80 per cent in March 2023. This good performance in assets, loans, costs, and provisions is reflected in its core profits, which catapulted from ₹18,939 crore in March 2018 to ₹49,139 crore in March 2023. Its corporate loan book now constitutes high-rated companies that are bringing in robust fee-based income. For precisely this reason, ICICI Bank boasts the highest price-to-book valuation among major banks in India. (See box ‘A Snapshot of Banks’.)

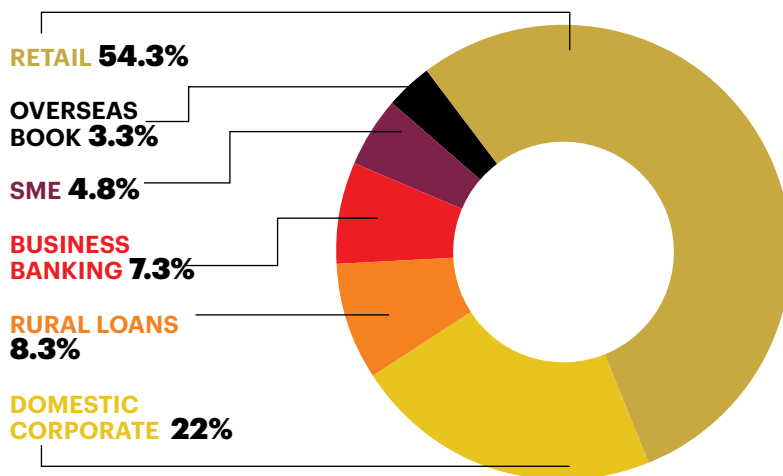
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A GROUND-UP APPROACH

Let us get back to Bhadohi. ICICI Bank was quick to identify the town as a gold mine and expand its presence in the area. It followed a similar playbook in Maharashtra's Pune and Tamil Nadu's textile hub of Tiruppur, among the hundreds of micro-markets that the bank has set up. The micro-market strategy fundamentally arises from the fact that there are many small Indias within India. These markets are handpicked by way of data analytics and market intelligence (straddling geographies like Bhadohi, Pune and Tiruppur), segments like senior citizen, defence, NRI, etc. and sectors like real estate and healthcare. This is followed up with localised strategies with tailored propositions for customers. “The micro-market strategy also helps in marketing campaigns that are targeted at a particular customer segment. We also have local alliances to offer propositions of high relevance

CHANGING LOAN MIX

- The share of retail loans has risen over the years, while the corporate book is concentrated in high-rated companies,
- Rural banking offers a huge scope for the bank to grow



NOTE DATA AS ON SEPTEMBER 30, 2023 SOURCE ICICI BANK PRESENTATION

to our customers,” says Sandeep Batra, Executive Director at the bank.

There is also a realisation at the bank's headquarters that it possesses a specific set of skills but not a comprehensive skill set to address the dynamics of the country or the micro-markets. “Our front-line teams are empowered to propose what is needed in their respective micro-markets in terms of branches, people, skill sets etc.,” adds Batra.

The bank has profiled the entire country down to the PIN code level. Currently, there are 19,000 PIN codes in India, comprising 6,000-7,000 rural PIN codes and 12,000 non-rural codes. At the central level, the bank has conducted an opportunity mapping of all 12,000 non-rural PIN codes. It has also empowered the team to make real-time decisions. The bank has 14 state heads, and around 250 zonal heads. Both its headquarters and the state heads rely on a centralised data

template to make informed decisions. Ultimately, the goal is to bring the bank closer to the customers, wherever they may be. “That's what shapes our strategy,” says Batra.

In fact, the “micro-markets” insights have helped it identify optimal locations to open new branches and realign its ATMs and distribution network based on customer needs and market opportunities. For instance, it has added 25 branches in Pune over the past five years, resulting in a total of 121 branches now. The granular profiling of markets has helped the bank deliver value to customers in every segment. Currently, the bank has a CASA (current account and savings account) share of 40.8 per cent of the total deposits as on September 30, with an almost equal share of branches in metro, urban, semi-urban, and rural areas. (See box ‘Changing Loan Mix’.)

As part of its strategy, the bank offers comprehensive solutions